

European Venture Spending Settles Around \$12B In Q1 As Early-Stage Investment Holds Steady

Gené Teare April 11, 2024



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Funding to European startups reached \$11.8 billion in the first quarter of 2024, up marginally from Q4 2023 and down less than 10% from Q1 2023, [Crunchbase](#) data shows.

Overall, European venture funding in the most recent quarter was slightly lower than the average quarter in 2023.

Around 18% of global venture capital was allocated to European startups in the first quarter, while North America represented just over 50% of quarterly venture funding.

Europe Venture Dollar Volume Through Q1 2024

Angel-Seed

Early Stage

Late Stage

Technology Growth

	QoQ Change [%]	YoY Change [%]
Overall Dollar Volume	4%	-9%

crunchbase

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Leading sectors and countries

Leading sectors for funding in Europe were financial services, healthcare and energy.

AI companies raised \$1.4 billion, or around 12% of European venture capital. That was about \$1 billion less than was raised by financial services

companies.

The U.K. represented 26% of the European venture market in Q1. Germany and France are the runners-up with 16% each of allocated European venture. The Netherlands and Sweden were the next largest regions for European funding.

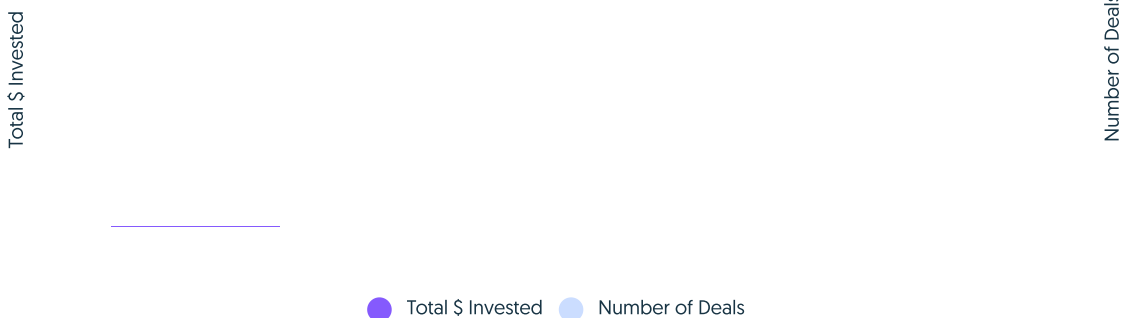
Late stage below \$5 billion

Late-stage investments from Series C onward totaled \$4.6 billion invested across 84 companies.

London-based digital bank [Monzo](#) raised the largest funding in Europe in Q1. The company raised \$430 million at a \$5 billion valuation led by [Alphabet](#)'s growth fund, [CapitalG](#). Monzo was last valued at \$4.5 billion in early 2022.

The second-largest raise in Europe was by online grocer [Picnic](#), based in Amsterdam. It raised \$388 million with the largest participation from Germany-based supermarket chain [Edeka](#) and the [Bill & Melinda Gates Foundation](#), and has expanded to cities in Germany and France.

Europe Late-Stage & Technology Growth Investment Through Q1 2024



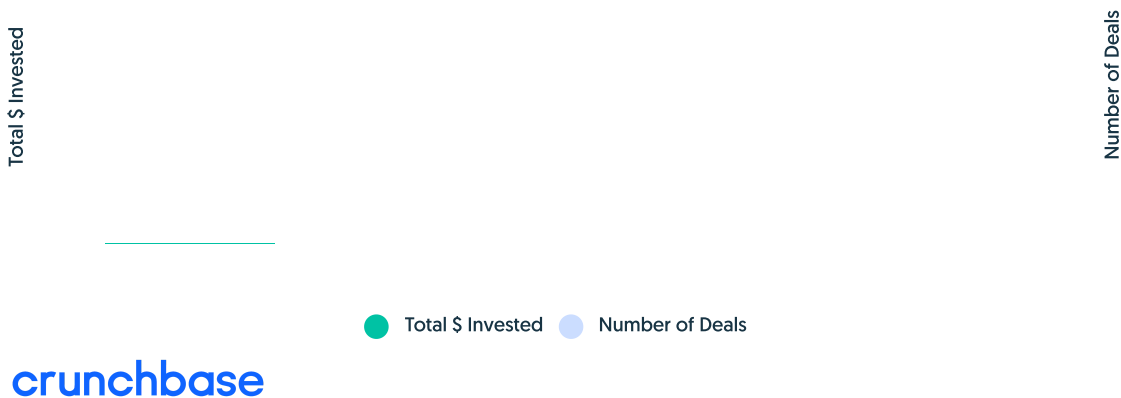
Early stage above \$5 billion

Early-stage funding actually outpaced late-stage funding in Q1, reaching \$5.4 billion invested in more than 300 European startups, Crunchbase data shows.

In fact, as the funding markets slowed further in 2023, early-stage investment has now outpaced late-stage funding amounts for three of the past five quarters, per Crunchbase data.

Large early-stage deals in Europe in Q1 went to several sustainable energy companies that raised sizable Series B deals. They include Paris-based electric charging company [Electra](#), Frankfurt-based solar provider [Enviria](#), and Stockholm-based home energy provider [Aira](#).

Europe Early-Stage Investment Through Q1 2024



Seed stage below \$2 billion

European seed-stage startups raised \$1.7 billion in Q1 across more than 900 companies, Crunchbase data shows. The stage has been below the \$2 billion mark since Q3 2023. (As always, keep in mind that seed data lags the

most and will increase funding counts over time as deals are added to the Crunchbase dataset.)

Europe Seed And Angel Investment Through Q1 2024

crunchbase

Early stage holds up

While the venture funding numbers are down from [the peak](#), it's worth keeping in mind that the European startup funding landscape has increased significantly over the years.

The venture capital ecosystem in Europe grew every year from 2014 through 2021. In 2021 alone, funding more than doubled.

But after a couple of quarters in 2022, European VC investment fell back to pre-2021 funding amounts, an analysis of Crunchbase data indicates.

Still, when you look at the quarterly funding amounts at seed and early-stage funding in 2023 and into the first quarter of 2024, amounts invested in European startups were higher than 2020 averages.

Methodology

The data contained in this report comes directly from Crunchbase, and is based on reported data. Data reported is as of April 3, 2024, and will be updated again before the final report is published.

Note that data lags are most pronounced at the earliest stages of venture activity, with seed funding amounts increasing significantly after the end of a quarter/year.

Please note that all funding values are given in U.S. dollars unless otherwise noted. Crunchbase converts foreign currencies to U.S. dollars at the prevailing spot rate from the date funding rounds, acquisitions, IPOs and other financial events are reported. Even if those events were added to Crunchbase long after the event was announced, foreign currency transactions are converted at the historic spot price.

Glossary of funding terms

We have made a change to how we include corporate funding rounds in our reporting as of January 2023. Corporate rounds are only included if a company has raised an equity funding at seed through a venture series funding round.

Seed and angel consists of seed, pre-seed and angel rounds. Crunchbase also includes venture rounds of unknown series, equity crowdfunding and convertible notes at \$3 million (USD or as-converted USD equivalent) or less.

Early-stage consists of Series A and Series B rounds, as well as other round types. Crunchbase includes venture rounds of unknown series, corporate venture and other rounds above \$3 million, and those less than or equal to \$15 million.

Late-stage consists of Series C, Series D, Series E and later-lettered venture rounds following the “Series [Letter]” naming convention. Also included are venture rounds of unknown series, corporate venture and other rounds above \$15 million.

Technology growth is a private-equity round raised by a company that has previously raised a “venture” round. (So basically, any round from the previously defined stages.)